Session 11: Non-Current Assets III: Intangible Assets (IAS38)

By the end of this session you must know the three-part definition of an intangible asset, how recognition differs by the way an asset was obtained, how measurement after recognition works under the cost and revaluation models, how useful life (finite vs. indefinite) drives amortisation, and the strict rules on capitalising research versus development expenditure and other internally generated intangibles.

Plan

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1. What Is an Intangible Asset?

- Under the general IAS framework, an asset is a resource controlled by an entity as a result of past events, from which future economic benefits are expected to flow to the entity.

Intangible asset (IAS38): the definition is satisfied only when three conditions are met simultaneously. The item is (a) non-monetary, (b) identifiable, and (c) without physical substance.

Identifiability is satisfied if either of two conditions holds: the asset is *separable* (it can be separated from the entity and sold, transferred, licensed, rented or exchanged separately), or it arises from *contractual or other legal rights*, regardless of whether those rights are themselves transferable or separable from the entity. Identifiability is what distinguishes a specific intangible asset from goodwill, which by definition cannot be separated from the business as a whole.

Control means the entity is able to control the future economic benefits arising from the item. Legal protection (e.g. a trademark or patent) is one way to establish control over benefits flowing from technical or scientific knowledge, but it is not the only way. An entity may control benefits by other means. A customer portfolio is given as a specific example of an intangible asset where control can be an issue.

Future economic benefits can take the form of future income from using the asset, or of cost savings the asset is able to produce.

2. Recognition and the Four Acquisition Routes

Recognition test: an item is recognised as an intangible asset only if it meets the three-part definition above *and* (a) it is probable that the future economic benefits attributable to it will flow to the entity, and (b) its cost can be measured reliably.

Some commonly-mentioned items explicitly fail this test and are never recognised as intangible assets, all because they cannot be distinguished from the cost of developing the business as a whole:

- Internally generated original goodwill.
- Start-up expenses.
- Personnel training expenses.
- Advertising and promotional expenses.
- Reorganisation expenses.
- The cost of internally developing a customer portfolio.

Loyalty card program: a retailer launches a customer loyalty points program. The expenses of organising it cannot be capitalised, because they cannot be distinguished from the cost of developing the business generally. This is an internally generated item that fails identifiability, in the same way as an internally generated customer list. It would be different only if the loyalty program were separately identified as an intangible asset acquired through a business combination.

IAS38 analyses initial measurement according to how the asset was obtained:

Must know (four acquisition routes):
• **Separate acquisition:** initially measured at cost (purchase price + directly attributable costs, e.g. legal costs + borrowing costs under IAS23 conditions)
• **Acquisition as part of a business combination:** measured at fair value per IFRS3
• **Acquisition by way of a government grant:** fair value, or nominal amount plus directly attributable costs, per IAS20
• **Internally generated assets:** capitalisation of outlays incurred, subject to the strict research/development split (Section 5)

3. Measurement After Recognition: Cost and Revaluation Models

Cost model: after initial recognition, an intangible asset is carried at cost less accumulated amortisation and accumulated impairment losses.

Revaluation model: after initial recognition, an intangible asset is carried at a revalued amount, being its fair value at the revaluation date, less subsequent accumulated amortisation and subsequent accumulated impairment losses.

- The revaluation model can only be applied where fair value can be determined by reference to an *active market*. The slides explicitly note this is uncommon for intangible assets, giving production quotas, fishing licences and taxi licences as examples of the rare cases where an active market exists.

Revaluation gains and losses follow the same reversal logic already seen for PP&E (Session 10):

- Revaluation gains are credited to a revaluation reserve as OCI, unless the gain reverses a previous write-down, in which case the part that neutralises the previous write-down goes through profit or loss instead.
- Revaluation losses are recognised as an expense in profit or loss, except for the part that can be absorbed by reducing a reserve built up from previous revaluations of the same asset.

4. Useful Life and Amortisation

- The first distinction an entity must make is whether an intangible asset has a finite or an indefinite useful life.

Indefinite useful life: based on an analysis of all relevant factors, there is no foreseeable limit to the period over which the asset is expected to generate net cash inflows for the entity. “Indefinite” does not mean “infinite.”

Factors relevant to determining useful life include:

- Expected use of the asset.
- Product life cycles.
- Obsolescence (technical, technological or commercial).
- Stability of the economic sector.
- Actions of competitors and potential competitors.
- The level of maintenance expenditure required, and the entity’s ability and intent to maintain that level.
- Legal restrictions on use.
- Dependence of the asset’s useful life on the useful life of other assets to which it is connected.
- Where an intangible asset arises from contractual or other legal rights, its useful life cannot exceed the duration of those rights, though it may be shorter if the entity expects to use it for a shorter period.

Must know (amortisation and impairment by category):
• Intangibles with a **finite** useful life: amortised over that useful life **and** tested for impairment (IAS36) when indicators exist
• Intangibles with an **indefinite** useful life: **not** amortised, but tested for impairment at least annually
• **Goodwill:** never amortised, tested for impairment at least annually (same treatment as an indefinite-life intangible, covered further in Sessions 12-13)

5. Internally Generated Intangibles: Research vs. Development

- This is the most exam-tested distinction in the whole session, because it hinges on a bright-line rule rather than judgement

calls.

Research expenditure: expensed as incurred, always. No capitalisation is ever permitted for research.

Development expenditure: may be capitalised, but only if the entity can demonstrate *all six* of the following simultaneously: technical feasibility of completing the asset. Intention to complete it and use or sell it. Ability to use or sell it. How the asset will generate probable future economic benefits (e.g. the existence of a market for its output, or its usefulness if for internal use). Availability of adequate technical, financial and other resources to complete the development and to use or sell it, and the ability to measure the development expenditure attributable to the asset reliably.

Examples of **research** activities:

- Obtaining new knowledge.
- Investigating, evaluating and selecting applications of research results or other knowledge.
- Searching for alternative materials, designs, processes, systems or services.
- The conception, design, evaluation and final selection of possible alternatives for new or improved materials, products, processes, systems or services.

Examples of **development** activities:

- Designing, constructing and testing prototypes or models prior to production.
- Designing, constructing and operating a pilot plant.
- Designing, constructing and testing alternative materials, designs or processes.
- Designing, constructing and testing a chosen alternative for new/improved materials, devices, products, processes, systems or services.
- Certain internally generated items can never be recognised regardless of the research/development split, because they cannot be separated from goodwill: internally generated trademarks, newspaper mastheads, publishing titles, customer lists and similar items.
- These can, however, be recognised as specific intangible assets if acquired from a third party or through a business combination. The identifiability problem is inherent to internal generation, not to the item itself.

6. Worked Examples

Internal timekeeping software (Part A, cost classification): a company designs an in-house web-based timekeeping system, incurring: concept design 2,500, evaluation of design alternatives 3,700, determination of required technology 8,100, final selection of alternatives 1,400 (all **research**, expensed as incurred, total 15,700. Though the source subtotal for “expensed as incurred” research items is not restated as a separate figure). Software design 28,000, software coding 42,000, quality assurance testing 30,000 (all **development**, satisfying the six capitalisation conditions, capitalised total 100,000), and training 14,000, general and administrative costs 11,200, ongoing maintenance costs 6,000 (subsequent costs that do not satisfy the IAS38 recognition criteria, expensed as incurred). Total capitalised = 100,000. Total expensed = 46,900. Total costs incurred = 146,900.

Internal timekeeping software (Part B, amortisation): the system’s estimated useful life is 5 years (60 months). Amortisation begins once testing is complete, at a monthly charge of 100,000 ÷ 60 = €1,666.67, allocated pro-rata across the capitalised cost items (e.g. software coding 42,000 ÷ 60 = €700/month).

Internal timekeeping software (Part C, subsequent module): once operational, management builds an additional e-mail-reminder module (significant added functionality, so its cost of 18,000, 11,000 developers + 7,000 QA testing, is capitalised). By completion, the original system had already run for one year, so the module’s amortisation period is the *residual* useful life of the original asset (4 years = 48 months), not a fresh 5-year period: monthly charge = 18,000 ÷ 48 = €375/month.

Purchased intangibles and useful life (Exercise 1): a patent expiring after 10 years but expected to be used for 6 years → useful life = 6 years (the shorter of legal duration and expected use), amortised over 6 years, depreciable amount = cost minus residual value. A copyright expiring after 40 years, intended for use for 30 years with no residual value expected → useful life = 30 years, depreciable amount = full cost. A trademark with unlimited legal life but manufacture expected to cease after 3 years → useful life = 3 years (limited by expected use, not legal duration), with residual value depending on whether the trademark itself could be sold at the end of that period.

Website development costs (Exercise 2): planning costs of the website → expensed (this is the research-equivalent, exploratory phase). Development costs of the website → can be capitalised, provided it is demonstrated that they generate probable future economic benefits. Costs of developing the site's content → expensed. Operating costs (running the live site) → expensed.

7. Common Mistakes and Exam Traps

- Capitalising any research expenditure. Research is expensed as incurred with no exceptions. Only development expenditure is even potentially capitalisable, and only if all six conditions are met simultaneously.
- Amortising an intangible asset with an indefinite useful life. Indefinite-life intangibles (and goodwill) are never amortised, only tested for impairment.
- Treating "indefinite" as "infinite". Indefinite means no foreseeable limit given current facts, which can change. It does not mean the asset will literally last forever.
- Capitalising internally generated trademarks, customer lists or mastheads. These fail identifiability when internally generated and can only be recognised if acquired externally or via a business combination.
- Restarting the amortisation period from zero for an add-on module to an already-in-use asset. The add-on is amortised over the *remaining* useful life of the underlying asset, not a fresh full term.
- Using the revaluation model for an intangible asset without an active market. This is only permitted by reference to an active market, which is rare for intangibles (the slides give only production quotas, fishing licences and taxi licences as examples).

8. Must Know Absolutely

Must know:
• Intangible asset = non-monetary + identifiable (separable, or from contractual/legal rights) + no physical substance
• Recognition additionally requires probable future economic benefits and reliably measurable cost
• Four acquisition routes: separate acquisition (cost), business combination (fair value, IFRS3), government grant (fair value/nominal + directly attributable costs, IAS20), internally generated (capitalised outlays subject to R&D split)
• Cost model: cost − accumulated amortisation − accumulated impairment. Revaluation model: fair value (active market only) − subsequent amortisation/impairment, gains/losses to OCI/P&L mirroring PP&E rules
• Finite life → amortise + impairment test if indicators. Indefinite life and goodwill → never amortise, impairment test at least annually
• Research → always expensed. Development → capitalised only if all six conditions (technical feasibility, intention, ability to use/sell, probable future benefits, adequate resources, reliable measurement) are met
• Internally generated trademarks/mastheads/customer lists → never recognised (inseparable from goodwill), unless acquired or obtained in a business combination